

realising the value of doing all these in-house, rather than giving it to third-party IT services majors,” says Lowe’s Mittal, who has earlier worked in the IT sector. India—the GCC capital with half the world’s captive units—has witnessed a recent wave of MNCs establishing their captive base here after the Covid-19 pandemic. They have collectively added an estimated net 365,000 jobs in 2023, as per talent solution firm NLB Services, even though India’s IT services sector has scaled back hiring due to the US recession and rapidly changing tech landscape.

THE TREND HAS been in the making for two decades with early entrants such as banking and retail giants JPMorgan, Wells Fargo, Target and Tesco realising that India is not just a good offshore centre, but also a good place for offshore-insourcing. Today, GCCs are flourishing on the same advantages that ignited the IT boom a quarter century ago—a vast reservoir of English-speaking tech talent available at affordable rates. “You won’t find an artificial intelligence (AI) engineer in the US for less than \$200,000-250,000 a year. India has a depth and pipeline of talent, even if it’s not ready-made,” says AstraZeneca’s Padmanabhan. A talent pool can be created within two years through the IITs and IIMs, he adds.

Power transmission firm Hitachi Energy’s engineering centre in Chennai is proof. Started with 100-odd people in 2007 to focus on segments of projects outside India for its global parent, the recently expanded and rechristened Global Technology and Innovation Center has evolved into a team of 2,500 energy transformation technologists which executes end-to-end power transmission projects across 40 countries, including



“About 55 per cent of our IT operations are based here. A good chunk of our global value is generated from India”

SIVA PADMANABHAN
MD & HEAD, GLOBAL INNOVATION AND TECHNOLOGY CENTRE, ASTRAZENECA

India. A multi-terminal HVDC (high-voltage direct current) transmission line connecting Saudi Arabia and Egypt is one of the projects the team is working on to ensure supply security for both nations.

“The tasks undertaken by the Chennai centre were previously managed through European engineering hubs, but scaling up proved challenging. With 1.5 million engineers graduating annually in India, we are able to train, upskill, cross-skill and deliver at scale and speed. That’s why we are able to do 1,000 projects from here,” says N. Venu, Managing Director & CEO of Hitachi Energy in India and South Asia.

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CRUSH



THE INDIAN GCC MARKET HAS GROWN AT 11.4 PER CENT CAGR BETWEEN FY15 AND FY23 TO \$46 BILLION, PER NASSCOM-ZINNOV GCC REPORT



TODAY, THE SECTOR EMPLOYS 1.6 MILLION PROFESSIONALS, INCLUDING SEVERAL IN KEY GLOBAL LEADERSHIP POSITIONS



THE AVAILABILITY OF LARGE-SCALE ENGLISH-SPEAKING TECH TALENT, WHICH SPURRED THE IT BOOM IN INDIA, IS ALSO DRIVING THE GCC RUSH